

Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand

December 2013

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Innovative Business Support & Promotion

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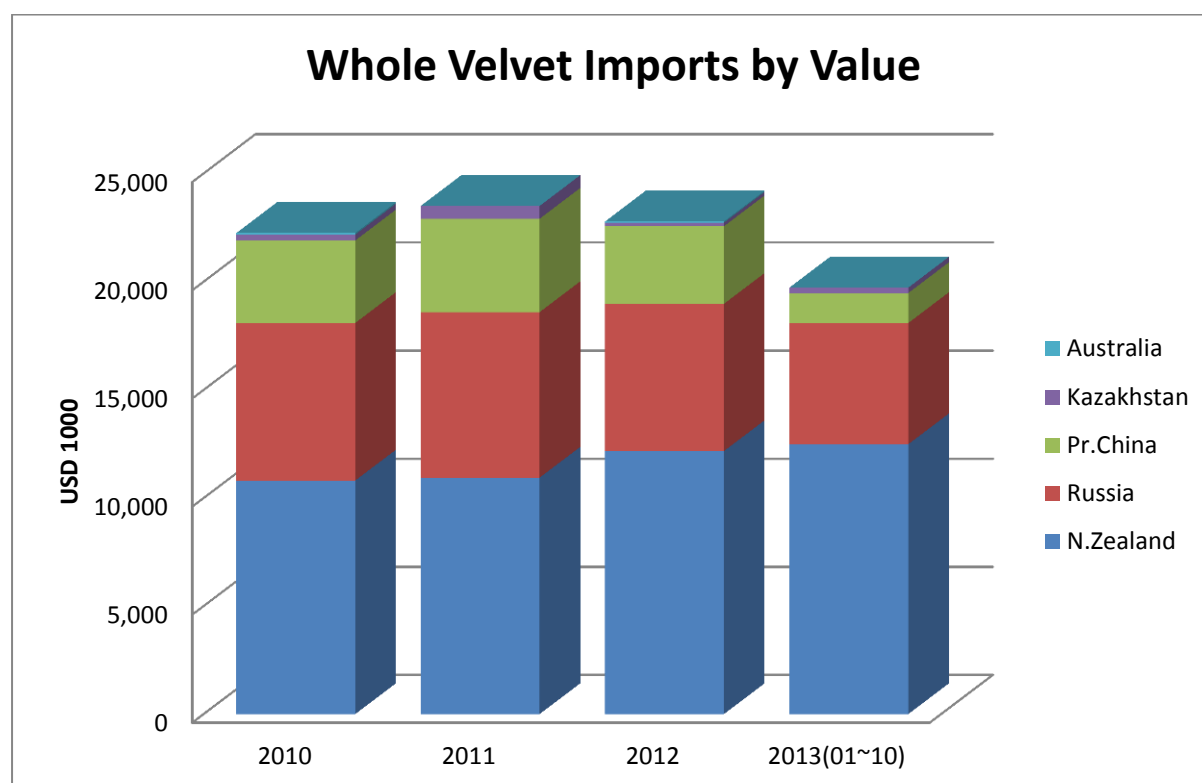
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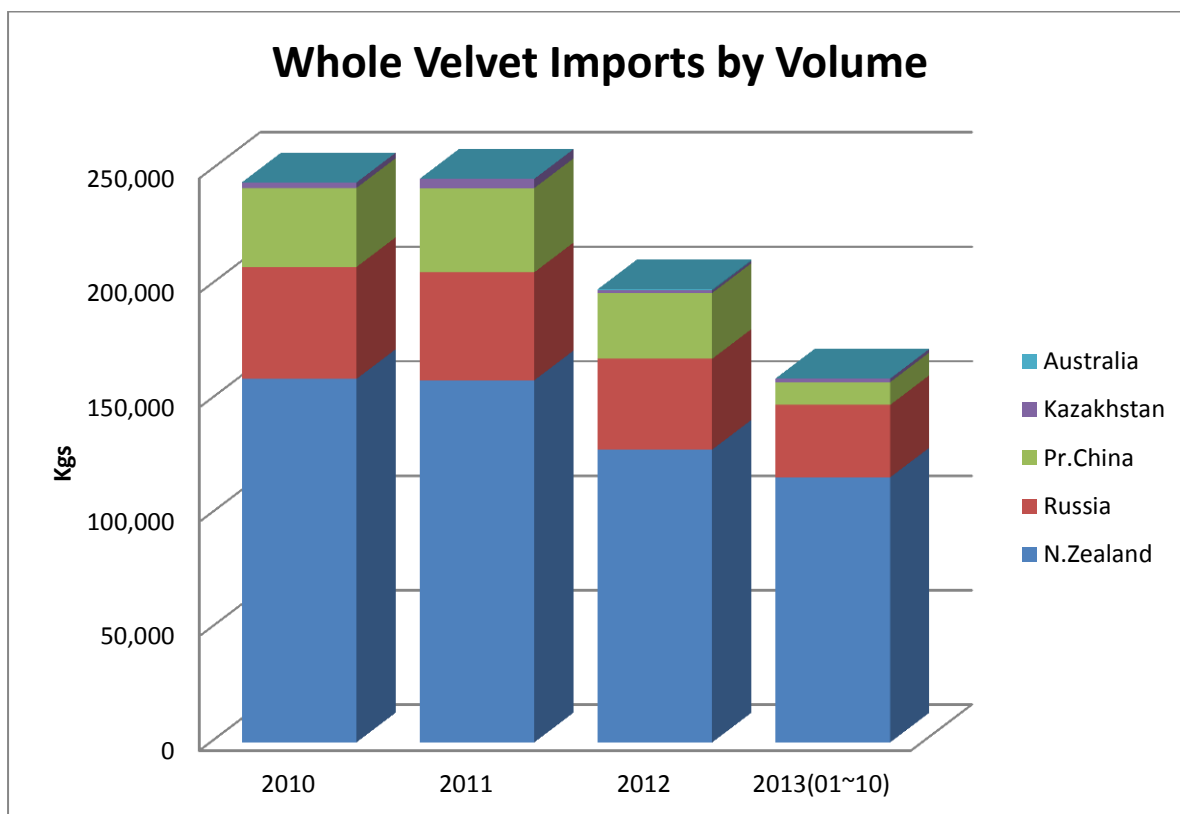
2 Imports

2.1 Velvet Imports

2.1.1 Young Antlers, Whole HS No. 0507.90.1110

Rank	Country	2010			2011			2012			2013(01~10)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	22,247	246,623		23,497	246,188		22,779	197,907		19,726	159,015	
1	N.Zealand	10,813	158,875	68	10,946	158,276	69	12,176	128,048	95	12,492	115,902	108
2	Russia	7,281	48,841	149	7,647	47,142	162	6,801	39,615	172	5,600	31,647	177
3	Pr.China	3,811	34,514	110	4,314	36,742	117	3,584	28,731	125	1,386	9,934	140
4	Kazakhstan	272	2,393	114	591	4,028	147	165	1,063	155	248	1,531	162
5	Australia	70	2,00	-	-	-	-	54	450	120	-	1	-
	NZ Share (%)	48.60	64.42		46.58	64.29		53.45	64.70		63.33	72.89	





2.1.2 Young Antlers, Other HS No. 0507.90.1190

Rank	Country	2010			2011			2012			2013(01~10)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	100	33		88	80		81	77		66	58	
1	N.Zealand	58	8	7,250	47	36	1,306	52	49	1,061	46	27	1,704
2	Australia	42	25	1,680	40	42	952	29	28	1,036	20	31	645
3	U.S.A	0	-	-	0	1	0	0	-	-	0	-	-
4	Pr.China	-	-	-	0	1	0	-	-	-	-	-	-
	NZ Share (%)	58.00	24.24		53.41	45.00		64.20	63.64		69.70	46.55	

2.1.3 Hard Antler Imports HS No. 0507.90.1200

Rank	Country	2010			2011			2012			2013(01~10)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	2,219	202,444		2,511	224,058		2,282	189,566		1,246	101,683	
1	Russia	2,000	183,000	11	2,508	224,035	11	2,229	185,298	12	1,195	97,675	12
2	N.Zealand	34	3,420	10	0	3	0	51	4,251	12	49	4,000	12
3	Australia	63	6,024	10	2	20	100	2	17	118	3	8	375
4	Mongolia	62	5,000	12	-	-	-	-	-	-	-	-	-
5	Argentina	60	5,000	12	-	-	-	-	-	-	-	-	-
	NZ Share(%)	1.53	1.69		0	0		2.23	2.24		3.93	3.93	

2.2 Quarantine Statistics of Deer Velvet from Major Exporters

2.2.1 Year to date

2.2.1.1 Velvet

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY	NOV 11 – OCT 12		NOV 12 – OCT 13	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	20,243.3	67,844.6	23,736.14	75,722.70
China	70,790.7	10.4	54,005.06	9
Russia	22,054.9	-	45,340.01	1
Hong Kong	9,303.7	-	10,082.90	
Kazakhstan	2,033.8	-	1,770	
Australia	102.4	-	59	3
Canada	6.7	-	6	
USA.	32.1	-	21	
Singapore	0.7	-	-	
Taiwan	3.3	-	11	
Others	1.2	5.4	-	24
Total	124,572.8	67,860.4	135,028.86	75,760.86
Overall Total	192,433.2		210,789.72	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

2.2.2 Full Year

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY	JAN 11 – DEC 11		JAN 12 – DEC 12	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	27,476.4	99,841.5	20,612.5	66,275.1
China	64,045.7	14.1	65,789.8	10.3
Russia	35,181.6	-	35,922.7	-
Hong Kong	9,560.1	-	9,136.6	-
Kazakhstan	4,029.3	-	1,063.0	-
Australia	101.2	-	93.4	-
USA.	32.9	5.5	31.6	-
Singapore	1,025.4	-	0.7	-
Others	9.7	6.3	19.6	0.8
Total	141,462.3	99,867.4	132,669.9	66,286.2
Overall Total	241,329.7		198,956.1	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

2.2.3 Quarantine Fail – Year to Date

The following statistics from the NVRQS give an indication of product that has been rejected on import. While ‘banned origin’ shows only a small volume it is likely that the ‘No COQ’ would also reflect product that did not have the appropriate documents from the country of export.

COQ = Certificate of Quarantine (Phytosanitary Certification)

COUNTRY	NOV 11 – OCT 12		NOV 12 – OCT 13	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
China	No COQ 1,470.2 Drying defect 0.5 Banned origin 1.3	No COQ 0.2 Banned origin 10.2	No COQ 790.0 Banned origin 2.2	Banned origin 8.52
USA.	No COQ 0.2 Banned origin 31.8	-	No COQ 1.27 Banned origin 18.42	Banned origin 0.075
Canada	Banned origin 6.7	-	Banned origin 5.96	-
Russia	-	-	-	Banned origin 1.3
Japan	Banned origin 1.1	Drying defect 0.8	Banned origin 0.35	Banned origin 1.45
Brazil	-	Banned origin 3.6	-	-
Taiwan	Banned origin 3.3	-	-	-
New Zealand	-	-	No COQ 2.75	-
Thailand				Banned origin 23.0
Others	0.1	1.0	-	-
Total	1,515.30	15.8	820.95	34.35
Overall Total	1531.10		855.30	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

3 Retail Prices of Deer Velvet to Individual Consumers

There has been no change in pricing since the previous report in September.

3.1 Retail Prices of Dried Deer Velvet to Individual Consumers (Online shopping) (As of 2013-12)

Packaging: 2 nyang (75g) retail pack

	New Zealand	Russia	Korea
Bungol (tip)	KRW 107-108,000	KRW 142-150,000	KRW 180,000
Sangdae (upper part)	KRW 80-90,000	KRW 107-108,000	KRW 130,000

Jungdae (middle part)	KRW 62-63,000	KRW 85,000	KRW 110,000
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Source: A number of different Korean online shopping malls and Deer Velvet Specialists

3.2 Fresh Deer Velvet (Local, online shopping)

(As of 2013-12)

Packaging: 5 nyang (200g) retail pack

Bungol (tip)	KRW 160-200,000
Sangdae (upper part)	KRW 130-140,000
Jungdae (middle part)	KRW 95-110,000
Hadae (lower part)	KRW 70-100,000



2

Source: A number of different Korean online shopping malls and Deer Velvet Specialists

1

http://herbseoul.com/front/php/product.php?product_no=1584&main_cate_no=&display_group=&cafe_mkt=naver_cc&NVKWD=%EB%85%B9%EC%9A%A9&NVADKWD=%EB%85%B9%EC%9A%A9&NVAR=PL&NVADID=31311460+0DO1003phK9drNC90042

² http://sasum9.com/index.php?pgurl=shop/sh_goods_view&salegdn=205>ype=1&ctpose=AAC

4 Local Deer Industry

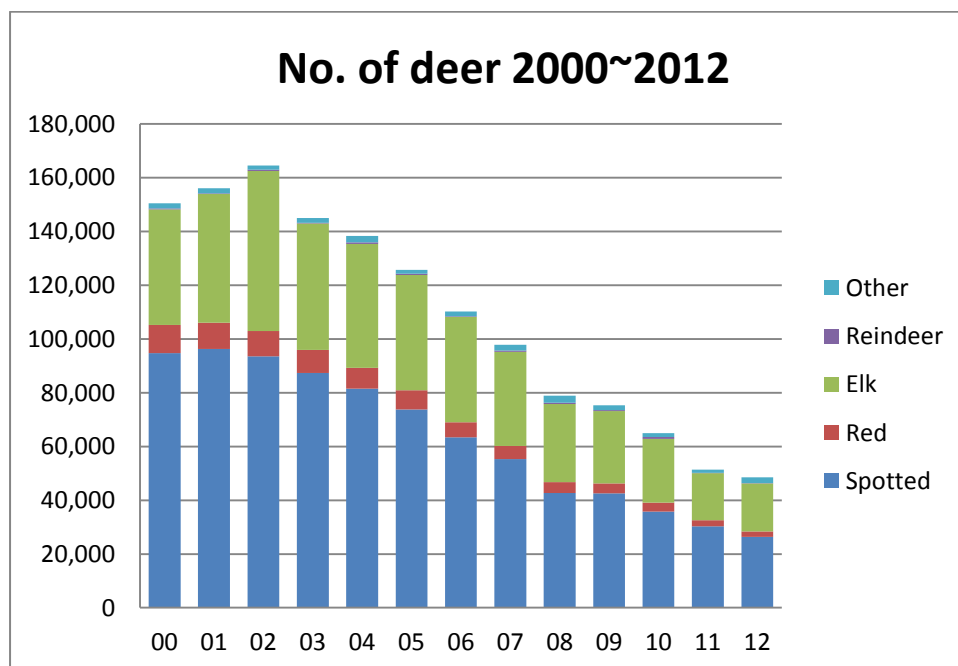
4.1 Home shopping deer velvet products are not pharmaceuticals

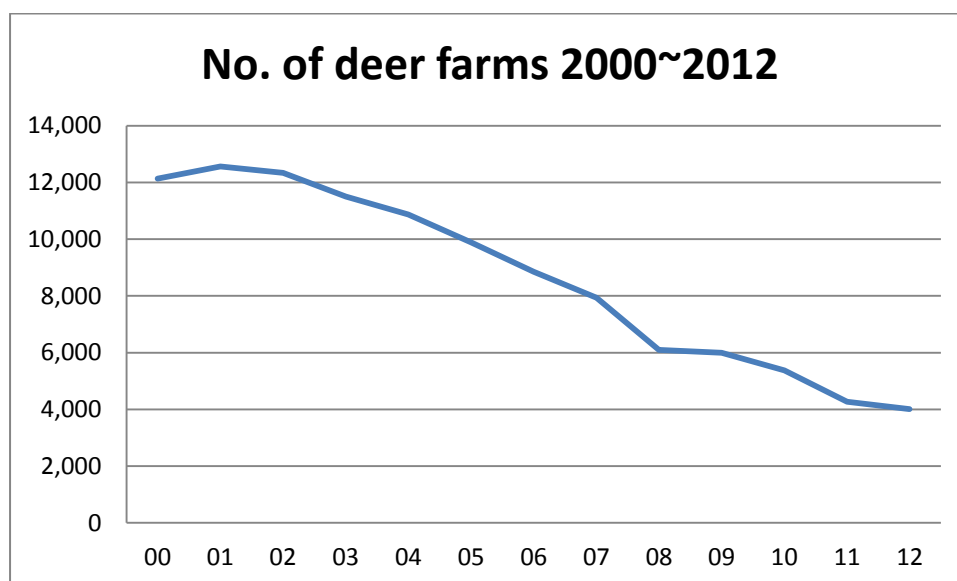
Association of Korea Medicine released a statement to the public on December 19th, stating that the deer velvet products for sale on home shopping networks are food products, not pharmaceuticals. This is different from the pharmaceutical deer velvet that an OMD is able to provide, especially in quality. The Association urges consumers to be aware of the difference and not to expect the same results from these products.

Source: AKOM Newspaper, December 19th 2013³

4.2 2012 figures for deer farms and total number of animals

- Ministry of Agriculture, Food and Rural Affairs recently released figures for 2012, showing that as of the end of 2012 there were 4,011 deer farms and 48,463 farmed deer in Korea.
- Of these deer, spotted deer make up 54.5%, elk 36.7%, and red deer 4.1%.
- The constant decline in farm and animal numbers is attributed to a decline in sales and also to outbreaks of disease.





Year	Total	Spotted	Red	Elk	Reindeer	Other
00	150,466	94,727	10,511	42,915	397	1,916
01	156,076	96,282	9,712	47,876	290	1,916
02	164,438	93,489	9,487	59,519	402	1,541
03	144,926	87,377	8,478	47,117	213	1,741
04	138,302	81,453	7,724	46,112	671	2,342
05	125,653	73,775	7,180	42,773	496	1,429
06	110,158	63,413	5,568	39,157	216	1,804
07	97,856	55,299	4,865	34,972	506	2,214
08	78,853	42,630	4,121	28,996	537	2,569
09	75,272	42,618	3,686	26,799	390	1,779
10	64,927	35,828	3,333	23,673	665	1,428
11	51,411	30,240	2,341	17,447	116	1,267
12	48,463	26,421	1,987	17,850	56	2,149

Source: Deer Times, December 16th 2013

4.3 Price of deer increases markedly

- The price of live elk has increased around 2 million won over last year's price.
- Price of elk over 5 years of age producing 20kg of velvet, increased from around 12.8 million to 15 million this year.
- Price of spotted and red deer showing similar increases
- Even female deer prices, which haven't shown much change for the last 5 years, are on the rise.
- This is mainly attributed to the reduction in total number of deer.

Source: Deer Times, December 16th 2013

4.4 President Park cracks down on unsafe food

- President Park has made a crackdown on unsafe/unsanitary food one of the focuses of her term in office, and monitoring of this has become more intense.
- As local raw deer velvet is not legally an official ingredient in Korean medicine, or recognised as a functional health food, it has become one of the targets.
- To date in 2013, there have been around 30 cases of local farmers receiving fines or being shut down for selling deer velvet and deer velvet products (*the article does not explain what the reason for these penalties was*)

Source: *Deer Times*, December 16th 2013

4.5 New Ganglio Coffee released by Nongshim: Ganglio-Honey-Apple Coffee

- A new flavour has been released in an attempt to increase awareness/sales
- Mention of 'New Zealand' deer bone extract remains in marketing materials.



Source: *Donga Ilbo*, December 9th 2013⁴

4.6 Hanrim Pharmaceutical releases 'Horban', nutritional tonic with deer velvet extract

- Includes Rurondin extracted from deer velvet, as well as other extracts and royal jelly etc.
- Rurondin appears first in order of ingredients introduced on marketing materials.
- Stated as being good for those who have a weak constitution, are fatigued, recovering from illness etc.
- Has had its effect verified through clinical trials in Korea.

⁴ <http://news.donga.com/3/all/20131207/59393645/1>



Source: Joongang Ilbo, November 18th 2013⁵

4.7 9 arrested for impersonating OMDs and selling fake health products

At the end of September 9 people were taken into custody for impersonating OMDs and prescribing fake deer products to the elderly. From June 2012 to July 2013, around 3700 elderly patients were gathered from around the country by these nine individuals for this purpose.

Source: Newsis, October 21st 2013⁶

⁵ http://article.joins.com/news/article/article.asp?total_id=13159116&clcc=olink|article|default

⁶ http://www.newsis.com/ar_detail/view.html?ar_id=NISX20131031_0012477802&clID=10807&plD=10800